SOP: Minimum Pay Rise and Pay Gaps Review

Hakim Group Payroll | Version 1.0 | October 2026 | Owner: Head of Payroll

1. Purpose

This SOP explains how to work out the cost of a rise in the legal minimum hourly pay (National Minimum Wage and National Living Wage), and how it affects pay gaps for Managers and DOs. It uses the workbook HG_Minimum_Pay_and_Pay_Gaps_Template.xlsx. You can run it without Claude.

2. When to run it

- **Forecast:** after the Budget or the government announcement of new rates (usually October or November). Use the latest payroll report.
- **Final figures:** in March, before the April payroll. Use the March payroll report so the figures match the people we employ at that time.
- **Ad hoc:** if rates change, or if management ask for a new scenario (for example a different pay gap floor).

3. What you need

- **Workbook:** a fresh copy of HG_Minimum_Pay_and_Pay_Gaps_Template.xlsx.
- **Rates:** the official rates from GOV.UK (the Budget document or the GOV.UK minimum wage rates page). Do not rely on news websites.
- **Payroll report:** one row per job, with the 14 fields below.

Column	Field	Notes
A	Payroll Ref	One row per job. People with two jobs appear twice.
B	Category	For example Practice Support, Practice Clinical.
C	Job type	Exact text, for example Optical Assistant, Practice Manager, Apprentice.
D	Basis	For example Permanent - Part Time. For information only.
E	Work location	Practice code. For information only.
F	Pay basis	Annual or Hourly. Must be spelt exactly like this.
G	Occupancy start date	Used to see if an apprentice is in their first year.
H	FTE	Full-time equivalent, for example 0.52667.
I	FTE salary	Full-time yearly salary. For hourly paid staff this is the hourly rate.
J	Pro-rated salary	Yearly pay for the hours they work.
K	Contract hours	Weekly contracted hours. Used for hourly paid staff.
L	Weeks worked	Usually 52. Used for hourly paid staff.
M	Hourly rate	Current hourly rate.
N	Date of birth	A real date (dd/mm/yyyy). Age is worked out for you.

4. Step by step

1. **Save a new copy:** open the template and save it as HG_Minimum_Pay_Review_[Month Year].xlsx in the secure payroll folder. Never work in the master template.
2. **Update the Rates sheet:** type the new rates and start date into the blue cells (B2 to B7). Check the company NI rate and threshold (B8, B9) and the pension rate and limits (B10 to B13). Update today's rates (B16 to B19) if they have changed since the last run.

3. **Check the pay gap groups:** on the Rates sheet, columns E to G list which job types count as Managers, DOs and Optical Assistants, and which roles are protected (Y). Add any new job titles.
4. **Prepare the payroll report:** put the 14 fields in the order shown in section 3. Delete any extra columns, for example a row-number column. A column in the wrong place is the most common cause of wrong answers.
5. **Paste the data:** on the Data sheet, click cell A2, then use Paste Special, then Values. Only paste into the blue columns A to N. The yellow columns work out by themselves and are locked.
6. **Run the checks:** complete the checks in section 5 before you read any totals.
7. **Read the results:** the Summary sheet shows the cost. The Pay Gaps sheet shows the effect on Managers and DOs and the cost of three options.
8. **Prepare the management reports:** see section 7.
9. **Approve and store:** password-protect the workbook before you send it (File, then Info, then Protect Workbook). Store it in the secure payroll folder. It holds personal data.

5. Quality checks

Check	Where	What good looks like
Row count	Summary B4	Matches the number of jobs in the payroll report.
Ages	Summary B11	0 jobs with a missing age. Filter Data column R for 'Age missing'.
Odd ages	Data column O	No ages under 16 unless confirmed (with work permits), none over 80 unless confirmed.
Pay basis	Data column F	Only the words Annual or Hourly.
Categories	Summary A35	Says 'Categories reconcile to the total'. If not, add the missing category name in Summary column A.
Below minimum now	Summary B13	Investigate and correct each one before the next pay run.
Spot check	Data sheet	Check 3 rows by hand using the worked example in section 6.
Formula errors	All sheets	No #VALUE!, #N/A or #DIV/0! in yellow columns.

6. Worked example (one row, checked by hand)

A salaried Optical Assistant aged 58, paid £12.71 an hour, with a pro-rated salary of £13,053.17. The new rate for 21 and over is £13.21.

Step	Calculation	Result
New yearly pay	£13,053.17 x £13.21 / £12.71	£13,566.67
Salary increase	£13,566.67 - £13,053.17	£513.50
Company NI	15% x £513.50 (both above the £5,000 threshold)	£77.02
Company pension	3% x £513.50 (both between £6,240 and £50,270)	£15.40
Total extra cost a year	£513.50 + £77.02 + £15.40	£605.92

Hourly paid example: aged 19, paid £10.50 an hour, 10 hours a week for 52 weeks. New rate £11.27. Salary increase = (£11.27 - £10.50) x 10 × 52 = £400.40.

7. Preparing the management reports

Option A, with Claude: give Claude the populated workbook (or the payroll report) and the Master Prompt in Appendix A. Claude will check the rates on GOV.UK, check the data, and write both one-pagers and the cover email.

Option B, without Claude: open last year's one-pagers in Word and update each figure from the workbook using this map.

Figure on the one-pager	Where to find it
Jobs needing a rise	Summary B5 (and the age split in B6 to B9)
Today / From April / Extra cost table	Summary H6 to K9 (pay, NI, pension, total)
Yearly and monthly cost	Summary B19 and B20
Whole company staff costs and % change	Summary I17, J17 and L17
Teams split	Summary rows 25 to 34
Staff with no set hours	Summary B10
Staff turning 18 or 21	Summary B14
Managers and DOs gaps	Pay Gaps rows 5 to 7 and 10 to 11
Gap bands	Pay Gaps rows 15 to 19
Option costs and people	Pay Gaps rows 23 to 25

8. Troubleshooting

What you see	Likely cause	Fix
Age shows 127	The date of birth column is in the wrong place, so the age is worked out from the hourly rate	Move the date of birth into column N
Age is blank	Date of birth missing or stored as text Excel cannot read	Re-type the date as dd/mm/yyyy
Nobody needs a rise	Rates sheet not updated, or columns shifted	Check Rates B4 to B7 and the column order
Hourly paid staff show £0 cost	No contract hours (zero hours)	Expected. They are flagged and listed as not costed
A formula has been overwritten	Pasted into a yellow column	Start again from a fresh copy of the template
Cannot paste or sort	The Data sheet is protected	Review, then Unprotect Sheet (no password)

9. Plain English glossary

- **Minimum rate:** the lowest hourly pay the law allows for each age group (National Minimum Wage and National Living Wage).
- **Pay gap:** how much more someone earns an hour than the minimum.
- **Pay compression:** when the minimum rises and people just above it do not get a rise, so the gap between levels gets smaller.
- **Qualifying earnings:** the slice of pay between the two pension limits that the company pension is worked out on.
- **Median:** the middle person when everyone is lined up by pay.

Appendix A. Master prompt for Claude

Copy this into Claude, attach the payroll report or the populated workbook, and fill in the parts in square brackets.

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MASTER PROMPT: Minimum pay rise cost and pay gap analysis (Hakim Group)
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Use my hg-minimum-pay-review skill and my hg-one-pager skill.

Context
I am the Head of Payroll at Hakim Group. The government has announced new National Minimum Wage and National Living Wage rates. Management need to know who needs a pay rise, what it costs the company, and how it affects pay gaps for Managers and DOs.

Step 1: Confirm the rates
Check the official rates on GOV.UK (the Budget document or the HMRC rates page), not news websites. Confirm the start date and the rates for 21 and over, 18 to 20, 16 to 17, apprentices and the accommodation offset. Tell me if any source disagrees. Also confirm the employer NI rate and threshold, and the pension qualifying earnings limits, for the new tax year.

Step 2: Use my data
I have attached the [month and year] payroll report. Payroll Ref is in column A. The columns are: Payroll Ref, Category, Job type, Basis, Work location, Pay basis (Annual or Hourly), Occupancy start date, FTE, FTE salary, Pro-rated salary, Contract hours, Weeks worked, Hourly rate, and Age at [start date] worked out from date of birth. [If I have used the HG template workbook, the data is on the Data sheet.]
Before you calculate anything, check the column layout, count the rows, and tell me about blank ages, text errors such as #N/A, duplicate payroll refs and any age under 16 or over 75.

Step 3: Work out the cost
For every job:
- Find the new minimum rate for their age on the start date. Apprentices get the apprentice rate if they are under 19 or in their first year. Under 16s are not entitled.
- Compare their hourly rate (rounded to 2 decimal places) to the new rate. If it is lower, they need a rise to the new rate.
- Salaried staff: new yearly pay = pro-rated salary x new rate / current rate.
- Hourly paid staff: yearly pay = hourly rate x contract hours a week x weeks worked. Flag anyone with no set hours as not costed.
- Staff who need no rise must show no change.
- Add company NI at [15%] above [£5,000] a year and company pension at [3%] of qualifying earnings between [£6,240] and [£50,270].
- Show a full 12-month cost from the start date, and the monthly cost as yearly divided by 12.
Also flag: anyone paid below today's minimum, apprentices who move to the age rate later, and staff who turn 18 or 21 during the year.

Step 4: Pay gaps (pay compression)
Compare Managers (Practice Manager and PP - Practice Manager) and DOs (Dispensing Optician and PP - Dispensing Optician) with Optical Assistants.
Show for each group: number of jobs, median hourly pay, median gap above the adult minimum today and after the change, how many are within £1 of the minimum, how many will be on the minimum, and the median lead over Optical Assistants.
Cost three options on top of the minimum pay rise:
1. Lift any Manager or DO to at least £1 above the new minimum.
2. Give every Manager and DO the same pence rise as the minimum.
3. Keep the same percentage gap for every Manager and DO.

Step 5: Check your work
Cross-check the totals with a second, independent calculation. Re-read every figure on the one-pagers against the workbook.

Step 6: Outputs
1. A backup workbook with Summary, Pay Gaps, Data and Rates sheets, live formulas, and a "today compared with new rates" table for the affected jobs and the whole company.
2. A one-page management summary of the cost, in HG style, Hakim Group pink and navy, Aptos 11, plain English for a reading age of 10, no payroll jargon, with a "How we worked this out" section naming the data source and period.
3. A one-page pay gaps summary for senior leaders with a chart, the three options and suggested next steps.
4. A short HG-voice email to send with the reports.

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Rules
Do not save staff data to GitHub or anywhere outside this session. Ask me before assuming
anything that is missing, for example the pension rate or a job title mapping.
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Version control

Version	Date	Change	By
1.0	28/10/2026	First version, based on the April 2027 review	Head of Payroll